**Columns (5) and (10) – Amount:** This is the last column of the cash book on both the debit and credit sides. In case of cash receipt, the amount of actual cash receipts and in case of payments, the amount of actual cash payment is recorded. The opening balance of cash is recorded on the debit side and the closing balance is the balancing figure on the credit side. Opening balance or capital contributed by cash in case of new business is the first item on the debit side and the closing balance is the last item on the credit side.

The word 'To' is conventionally used before different accounts at the debit side of cash book in particulars column. The word 'By' is used before the different accounts at the credit side of the cash book in particulars column.

**Column (7) Payments**: The accounts to which payments are made are recorded here such as names of persons to whom payment has been made, expenses paid, assets purchased, cash purchases, etc.

**Column (8) Voucher Number (V.N.)**: This column contains the serial number of the voucher towards which payment is made.



**Student activity**

**Think:** Credit transactions are not recorded in the cash book. Where will they be recorded?

### 7.6.1 Balancing of single column cash book

Since the cash book serves as cash account, it must be balanced regularly. The balancing procedure is the same like any other ledger account. It must be remembered that one cannot pay more cash than what one has received. Therefore, the total of receipts is always more than (or at least equal to, but never less than) the credit total (payments) and the cash book always shows a debit balance (or nil balance, but never credit balance).

### Illustration 1

Enter the following transactions in a simple cash book of Kunal:

| 2017 Jan. | | ₹ |
|---|---|---|
| 1 | Cash in hand | 11,200 |
| 5 | Received from Ramesh | 300 |
| 7 | Paid rent | 30 |
| 8 | Sold goods for cash | 300 |
| 10 | Paid Mohan | 700 |
| 27 | Purchased furniture for cash | 200 |
| 31 | Paid salaries | 100 |



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